The Switch

Level: Medium
Prerequisites: #1 – Basic Strategy
#4 – Speculative Buy

This strategy is for investors who prefer longer holding periods with less frequent trading. The aim of this method is to get into long term bull market moves from their earliest beginning stages.

If you have never held a stock through a 100% or 200% move then I would suggest to try this method out with a portion of your portfolio. Landing a "big fish" will give you a new kind of confidence as a trader.

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The best time to start using this strategy is right after the market, or a given sector, has had a significant correction or bear market. But good setups in individual stocks can appear at any time.

Since the Switch can only be done with stocks that are in bearish trend (Tr) our first step is to select useful candidates and add them to one of our watchlists in the daily reversal levels file. For this purpose we use the separate weekly reversal file that gets sent out each Saturday.

All stocks in bearish trend (Tr) can be used as Switch candidates. But there are a few ways to find the better Switch candidates quickly:

Method 1: In the weekly reversal levels table go to the “All” tab (or S&P 500 if we want to search the large caps only) and type “spBuy” in the search box. Then sort them by “R” (click on the header). That gives something like this:

Weekly reversal levels for December 13, 2025.

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Show All entries Search: spBuy

Name		Close	Trend	RevL (W)	MoM (W)	Weeks	P/L %	Action	R
Sea Limited	SE	125.02		161.28	-5.55 ▼	8	+23.11%	spBuy+	0.51▷ 78
PIMCO Corporate & Income Opp.	PTY	12.92		13.87	-6.97 ▼	8	+6.38%	spBuy	-0.71▼ 326
DoubleLine Income Solutions Fu	DSL	11.24		11.82	-6.85 ▼	11	+8.47%	spBuy	-0.77▼ 435
Flutter Entertainment	FLUT	223.04		261.32	-7.93 ▲	10	+12.17%	spBuy	-0.87▼ 8
Linde plc	LIN	416.24		446.15	-7.68 ▼	9	+8.83%	spBuy+	-0.89▼ 25
SL Green Realty	SLG	44.64		53.93	-5.5 ▼	9	+20.64%	spBuy+	-0.89▼ 35
Strategic Opportunities Fund	GOF	12.2		13.92	-8.93 ▼	8	+12.92%	spBuy	-0.91▼ 134
Arthur J Gallagher & Co	AJG	255.38		287.99	-7.24 ▲	26	+19.67%	spBuy	-0.93▼ 19
The Mosaic Company	MOS	26.21		31.13	-7.35 ▲	9	+14.40%	spBuy+	-0.94▼ 12
Douglas Emmett Inc	DEI	11.64		14.26	-6.87 ▼	9	+16.02%	spBuy	-0.99▼ 39
Zai Lab Ltd	ZLAB	17.77		28.07	-5.88 ▼	14	+44.38%	spBuy	-1.05▼ 7
Li Auto	LI	17.08		22.15	-5.45 ▼	19	+33.82%	spBuy	-1.10▼ 17
Copart Inc	CPRT	38.67		44.79	-6.04 ▼	29	+28.80%	spBuy	-1.13▼ 25
Choice Hotels International In	CHH	91.29		109.26	-6.96 ▲	19	+27.66%	spBuy+	-1.16▼ 32

Usually a significant portion of the tickers this pulls up will be stocks with a negative R that have been underperforming the market for months. But stocks with positive R can go in bearish trends too, especially if the entire market goes through a big decline. That's when we will also find stocks with a positive R among the Switch candidates.

Here we have Sea Limited (SE) as the only candidate with a positive R. It is now down 23% since it went in bearish trend 8 weeks ago. That's one we could add to our tickers list.

The stocks with negative R are not necessarily bad candidates. A quick look at the stock charts (hover over name or ticker) can show what has been going on. It's also a good idea to figure out the reason why the stock has declined, e.g. on news on sites like finviz.com. Is the reason a temporary problem, or a long term issue that may continue for years? We can even use AI and ask why a given stock is down, as is explained in PDF #2.

Candidates to avoid are the perpetual underperformers. Here we see PTY (negative R for 326 weeks) and DSL (negative R for 435 weeks). Hover over the name to see what that Rela chart looks like. Until that picture changes there is no reason to add those two stocks to our ticker list for doing a good Switch.

Method 2. In the weekly reversal levels table go to the “All” tab (or S&P 500 if we want to search the large caps only) and type “dBuy” in the search box. Then sort them by “R” (click on the header). That gives something like this:

Weekly reversal levels for December 13, 2025.

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Show All entries Search: dBuy

Name		Close	Trend	RevL (W)	MoM (W)	Weeks	P/L %	Action	R
Soleno Therapeutics	SLNO	52		65.6	-4.13 ▲▲	16	+24.29%	dBuy	-0.73▼ 8
Byrna Technologies	BYRN	18.72		22.17	-2.02 ▲▲	6	+8.46%	dBuy	-0.76▼ 14
Check Point Software Techn.	CHKP	192.12		202.71	-1.25 ▲▲	19	-1.12%	dBuy	-0.81▼ 19
Intrepid Potash	IPI	27.12		30.33	-3.29 ▲▲	19	+17.32%	dBuy	-0.85▼ 13
Cigna Corp	CI	274.7		295.94	-3.2 ▲▲	22	+9.47%	dBuy	-0.86▼ 24
Pearson plc	PSO	13.95		14.21	-4.06 ▲▲	6	-0.43%	dBuy	-0.87▼ 23
National Storage Affiliates	NSA	29.81		32	-2.38 ▲▲	52	+28.01%	dBuy	-0.89▼ 54
Yelp Inc	YELP	30.52		32.83	-3.16 ▲▲	26	+14.50%	dBuy	-0.91▼ 93
LKQ Corp	LKQ	30.99		32.37	-1.93 ▲▲	26	+19.32%	dBuy	-0.98▼ 27
CNH Industrial NV	CNH	9.9		11.02	-4.51 ▲▲	17	+18.72%	dBuy	-0.99▼ 17
CONMED Corporation	CNMD	40.83		48.11	-3.76 ▲▲	51	+40.20%	dBuy	-1.08▼ 116
Lineage	LINE	36.82		42.44	-4.05 ▲▲	46	+38.68%	dBuy	-1.08▼ 47
NovoCure Ltd	NVCR	13.32		14.36	-1.5 ▲▲	44	+40.30%	dBuy	-1.09▼ 36

Bullish divergences (dBuy signals) in the weekly chart are always interesting situations. Again we can hover the cursor over the stock name to see that divergence in weekly MoM.

A major Rela bottom + a bullish divergence in weekly MoM is one of the best long term setups. We check out the company, take a look at the Rela chart, find the news that has caused the decline, and retain the most interesting companies as Switch candidates.

No stocks with positive R in this list. But that doesn’t mean we should discard all those tickers. This is where we can find stocks at fire sale prices. Some are companies in decline, others are just out of favor names that are ready for a comeback. Just like with method 1, a bit of homework has to be done to separate the wheat from the chaff.

After major bear markets some top names and stocks with positive R will appear in this filtered list too. That’s when we have our season for putting on long term trades with this strategy.

Once we have our watch list with Switch candidates and put those tickers in our daily reversal levels file we can start trading. We will be waiting for Buy signals or spBuy signals in those stocks. Here is an example (Dec 17, 2025):

Name		Close	Tr	Mode	RevL (D)	MoM (D)	Days	P/L %	Action	R
Paychex Inc	PAYX	115.45	24		112.83	1.92 ▲	94	+19.33%	Buy	-1.04 ▼ 21

Bearish trend for 24 weeks.
Weekly RevL: 128.22

PAYX is in mild bearish trend for 24 weeks, making it a Switch candidate, and gives a Buy signal today.

We have to pay attention to the weekly RevL, which is easily seen by hovering the cursor above “24” in the Tr column. If the stock rallies and closes above $128.22 on a weekly basis, then this stock will turn double green and then we are in the long term trade we are aiming for. So, 128.22 is the hurdle this stock needs to take. That’s the plan.

Only two things can happen after we get in on this daily Buy signal:

1) PAYX falls back and gives a daily Sell signal before the weekly trend turns bullish. Then we get out because the stock goes back to "double red". We take the small loss and wait for the next chance.

2) PAYX climbs further and closes above its weekly RevL before it gives a daily Sell signal. This would mean the stock goes "double green" and our plan is working. In that case we switch to holding for the long term based on the weekly reversal levels only. Then we negate the daily Buy and Sell signals and hold the stock as long as weekly trend stays bullish (green or pale green).

We can also use spBuy signals that happen in our list with Switch candidates. Here is an example (Dec 17, 2025):

Name		Close	Tr	Mode	RevL (D)	MoM (D)	Days	P/L %	Action	R
Sea Limited	SE	124.27	8		141.71	-5.83 ▼	46	+31.40%	spBuy	0.51▷ 78

Bearish trend for 8 weeks.
Weekly RevL: 161.28

This is SE, which we found in our weekly table sort at the beginning of this article. A Switch candidate with a positive R, and today there is a daily spBuy signal for it. This is a double spBuy (weekly and daily) and that is the only situation in which we can consider getting into a double red stock. It may be too early, but it can be used for a small starter position.

This is more risky, but it gives us a chance to buy right at a very oversold bottom. There are now two hurdles to take if we use this spBuy trade. In the first phase we want MoM to bottom out and then see the stock rebound towards its daily RevL (currently at 141.71). The first important switch would be if it climbs enough to give a regular Buy signal by closing above the daily RevL. That would turn our stock red – green and would be the situation as described in the previous example.

In the envisioned scenario the stock would then rally towards its weekly RevL (currently at 161.28 per the popup info). If it clears that hurdle too then the stock would turn double green and become a long term hold, as long as weekly trend stays bullish.

This is a more difficult trade to pull off, as it has to clear two hurdles.

Important tips and notes:

1) The list with tickers we retain as good Switch candidates can be cleaned up once in a while (every few months is OK). Some stocks may have moved in bullish trend (green Tr) without us taking that trade. They are no longer candidates for doing the Switch. Other candidates in our ticker list may have taken another hit on bad news. If it’s no longer a company we would want to own, then it’s better to remove that ticker. And every so often we can add some new candidates based on the latest weekly reversal levels file.

2) Trade management. When to abort this type of trade?

Usually it is best to get out if the stock fails at one of the hurdles. This can be at a loss or a profit.

For example if we enter on daily spBuy, but the stock fails to rally and go into bullish mode, then it's best to get out when Mom turns back down. Or use a stop-loss just below the most recent important low price.

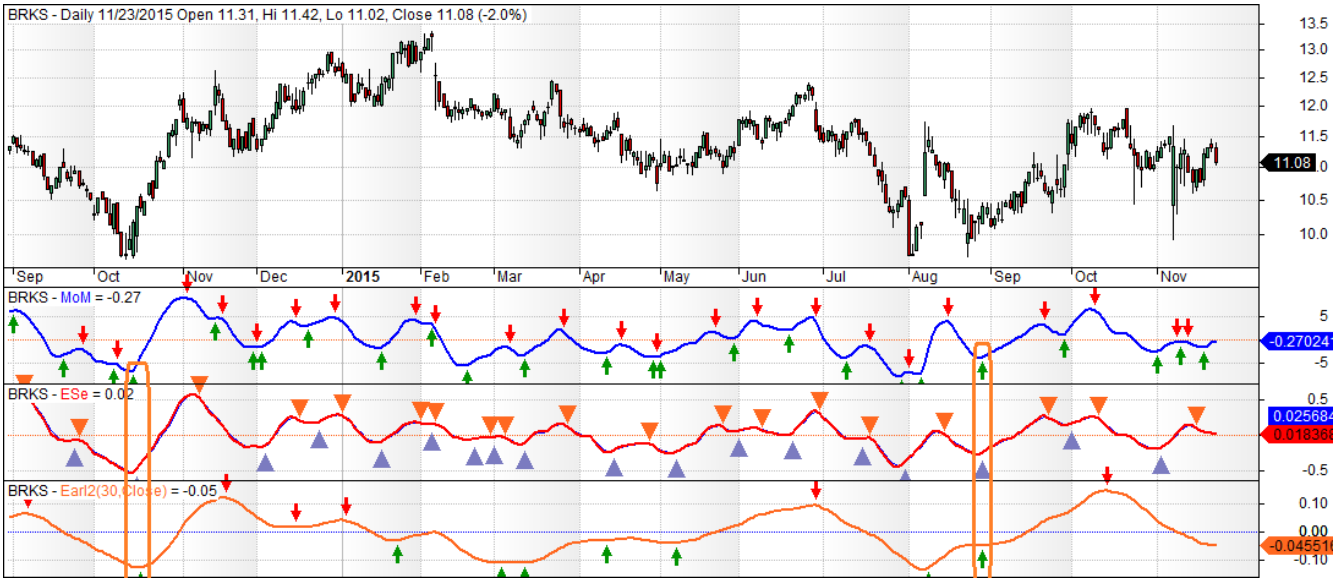
If we enter a Switch candidate on a normal Buy signal, then it is in daily bullish mode and going up. The general approach is then to hold on as long daily mode stays green (or pale green). If there is daily Sell signal then it is better to get out and wait for a next chance.

3) Some of the Switch candidates we select on the basis of the weekly reversal levels table may be in daily bullish mode already when we add them. That is not a problem. That stock could still pause or correct and then give another entry chance on a next Buy or spBuy signal. Waiting for setups to do the Switch requires a lot of patience, but that's what long term trades are all about.

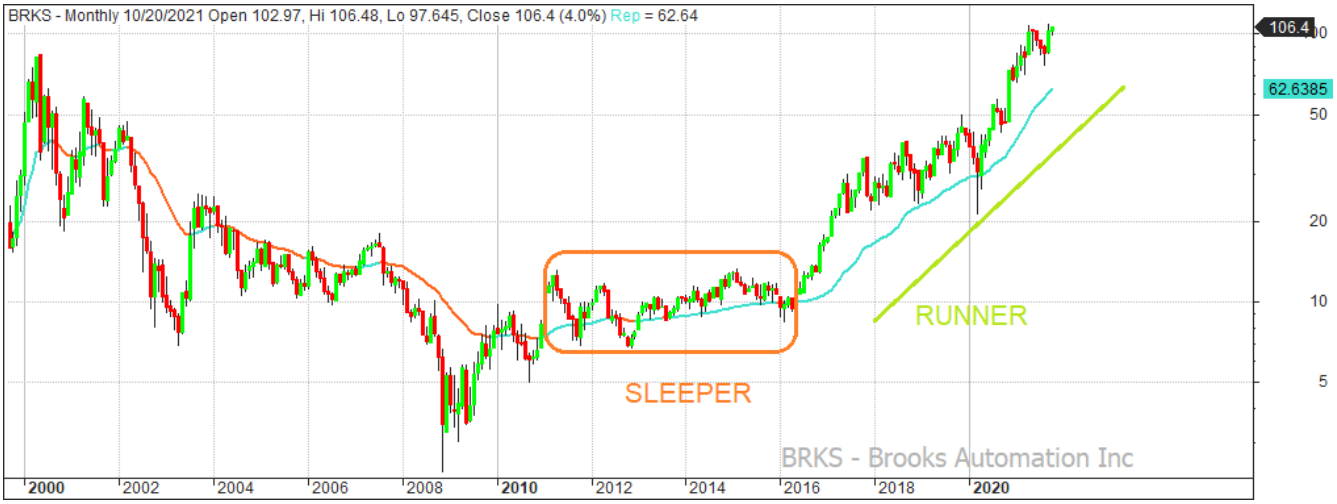
4) Typically there are a lot of good Switch candidates after the market or a sector has had a significant correction or bear market. Most big moves start when almost everybody is running scared. Stocks that have crashed on some unexpected bad news can be good candidates too.

5) The future big movers are usually not darling stocks that everyone talks about when the move gets underway. It's good to keep an eye on stocks that have been under the radar, companies that quietly keep growing their revenues with their stock chopping sideways for months or even years. This are "sleepers" and once they wake up it can become a big multi-year move because other investors also spot that breakout.

Here is an example of a sleeper stock we shared on a public forum in 2015. BRKS traded near $11 for months, went to $30 in 2018, and peaked at $120 in 2021. It now trades as AZTA. This was the sleeper chart:



In early 2016 BRKS became a “runner” and kept going:



When we spot sleeper stocks the job is to wait until they go are in a bearish trend, which is usually after some market correction. Often they are not very far below their weekly RevL, because that stock has been going sideways for years. So, a sleeper stock does not have to rally much to turn double green fairly quickly and that can lead to an explosive move.

In this case the stock had a Buy signal in early 2016, turned double green and embarked on a very profitable run. In 2017 it went into another sideways phase, but that one was not so easy to trade because of the covid crisis. Another big run followed.

6) This method is all about buying very cheap and holding on as long as possible. All current top stocks like NVDA, TSLA, AAPLE, GOOG, MSFT, META have offered several chances to get in with this Switch strategy throughout the years. Of course, not every year offers such opportunities. We have to wait for a serious market decline, and that usually comes with scary news of some nature.

More info about spotting those rare setups that only happen every couple of years is also given in the PDF #10 about the Rela charts.

Questions and comments are welcome as always.

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